

Table 66.1 Identification Guidelines

Characteristic	Discussion
Appearance	A triangular shape forms within the confines of two trendlines; the bottom one slopes up and the top one slopes down so that they intersect at the triangle apex. The trendlines need not be the same length.
Touches	There should be at least five distinct touches of the two trendlines (total), three on one trendline and two on the other, at minor highs and minor lows. Price slicing through the trendline at the start or end of the pattern doesn't count as a touch.
Whitespace	Price should cross the pattern from top to bottom, covering much of the whitespace.
Volume	Usually recedes throughout the triangle but can be irregular and is often very low just before the breakout. Don't discard a pattern because it has an irregular volume trend.
Breakout direction	Unknown ahead of time. Occurs when price closes outside the trendline boundary.
Duration	Typically longer than 3 weeks at a minimum. Patterns 3 weeks or less are pennants providing they sit atop a flagpole.